

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA), INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)

**OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA) INC. ORIGINAL VERIFIED ANSWER**

Respondent Ocean Network Express Pte. Ltd. (“ONE”) and putative Respondent Ocean Network Express (North America), Inc. (ONE NA)¹ each by and through its undersigned counsel, files this Original Verified Answer (“Answer”) to the Order of Investigation and Hearing (“Order”) in the above-captioned proceeding and responds as follows:

I.

Subject to and without waiving any defenses or affirmative defenses set forth subsequently in this Answer, ONE and ONE NA each answers the allegations in the Order in correspondingly-numbered paragraphs as follows:

1. Paragraph 1 of the Order constitutes a statement of law, to which no answer is required. To the extent that an answer is required, ONE and ONE NA each avers that the statute itself is the best evidence of what it says.
2. In response to Paragraph 2 of the Order, ONE and ONE NA each admits that the Order alleges that ONE and ONE NA have overbroadly defined and applied the definition of merchant

¹ ONE NA is not, and never has been, an ocean common carrier and accordingly joins this Answer only under protest and subject to its right to seek intervention by the federal courts. The term ONE NA shall refer throughout to putative Respondent ONE NA.

in its bill of lading. ONE and ONE NA each denies that it has done so and denies the remainder of Paragraph 2.

3. ONE and ONE NA each can neither admit nor deny the allegations of Paragraph 3 of the Order as it calls for conclusions of law. To the extent that an answer is required, ONE and ONE NA each admits that the Order contains this allegation but denies that it is true.

4. ONE and ONE NA each lacks information sufficient to admit or deny the allegations of Paragraph 4 of the Order, as it is too vague to allow an informed response.

5. ONE and ONE NA each can neither admit nor deny the allegations of Paragraph 5 of the Order as it requires conclusions of law; to the extent that an answer is required, ONE and ONE NA each answers that the statute itself provides what the FMC may or may not do.

6. ONE and ONE NA each can neither admit nor deny the allegations of Paragraph 6 of the Order as it requires conclusions of law. To the extent an answer is required, ONE and ONE NA each answers that the Commission's authority and any substantive or procedural requirements to the exercise of authority are what is provided in the statute.

7. ONE and ONE NA each admits the allegations of Paragraph 7 of the Order.

8. ONE and ONE NA each admits the allegations of Paragraph 8 of the Order as to the location of ONE NA but denies as to its characterization as ONE's "headquarters." ONE NA is an agent of ONE.

9. ONE and ONE NA each admits the allegations of Paragraph 9 of the Order as to ONE but denies them as to ONE NA.

10. ONE and ONE NA each can neither admit nor deny the allegations of Paragraph 10 of the Order as ONE and ONE NA each has no information upon which it may base an answer, except

that ONE and ONE NA each admits the allegation of footnote 3 that, as of the date of this Answer, Greatway is not a party to this proceeding.

11. ONE and ONE NA each admits the allegations of Paragraph 11 of the Order with respect to ONE, but denies the allegations of Paragraph 11 of the Order with respect to ONE NA.

12. ONE and ONE NA each admits the allegations of Paragraph 12 of the Order with respect to ONE but denies the allegations of Paragraph 12 of the Order with respect to ONE NA. ONE and ONE NA each specifically denies that the bills of lading were ONE NA bills of lading, that ONE NA is or was an ocean common carrier, and that ONE NA provided ocean transportation. ONE NA does not provide and has not provided ocean transportation.

13. ONE and ONE NA each admits the allegations of Paragraph 13 of the Order, except that and ONE and ONE NA each denies that the bills of lading were ONE NA bills of lading.

14. ONE and ONE NA each admits the allegations of Paragraph 14 of the Order, except that ONE and ONE NA each denies that the bill of lading was a ONE NA bill of lading.

15. ONE and ONE NA each admits the allegations of Paragraph 15 of the Order, except that ONE and ONE NA each denies that the bill of lading was a ONE NA bill of lading.

16. ONE and ONE NA each denies the allegations of Paragraph 16. ONE and ONE NA each believes that Greatway had or may have had an interest in or control of the cargo and was thus a party and/or consented to liability as a matter of law.

17. ONE and ONE NA each denies the allegations of Paragraph 17 of the Order. ONE and ONE NA each believes that Greatway had or may have had a beneficial interest in the cargo and may as a matter of law be considered a consignee.

18. ONE and ONE NA each denies the allegations of Paragraph 18 of the Order. ONE and ONE NA each believes that Greatway played a more substantial and substantive role in the transportation.

19. ONE and ONE NA each denies the allegations of Paragraph 19 of the Order, except that ONE and ONE NA each lack information to admit or deny whether Greatway acted as an agent for PLR. ONE and ONE NA each believes that Greatway also played a more substantial and substantive role with respect to the shipments in question.

20. ONE and ONE NA each admits the allegations of the first sentence of Paragraph 20 of the Order. As to the second sentence of Paragraph 20 of the Order, ONE and ONE NA each denies that Greatway was not involved in the dispute; lacks information to admit or deny whether the delay in pickup was due to the alleged dispute; admits that the cargo was not picked up prior to January 2019. Particularly, ONE and ONE NA each admits that demurrage and storage charges accrued; ONE and ONE NA each denies that all such charges were owed to ONE (or to ONE NA) because included in those charges were terminal demurrage and storage paid by ONE (but not ONE NA) to other service providers.

21. ONE and ONE NA each admits the allegation of Paragraph 21 of the Order that ONE and ONE NA filed a suit in the United States District Court for the Southern District of Texas, but otherwise denies the allegations of Paragraph 21 and states as follows: On May 18, 2020 ONE and ONE NA filed a claim for unpaid charges in the United States District Court for the Southern District of Texas against multiple entities, one of which was Greatway.

22. ONE and ONE NA each admits the allegations of Paragraph 22 of the Order.

23. ONE and ONE NA each denies the allegations of Paragraph 23 of the Order. ONE and ONE NA each believes that Greatway was or may have been liable for the accrued charges. ONE

and ONE NA each further states that the bills of lading at issue were ONE bills of lading, not ONE NA bills of lading, as stated on their faces.

24. ONE and ONE NA each admits the allegation of Paragraph 24 of the Order that the bills of lading contain terms and conditions, but answers that the best evidence of those terms and conditions may be found in the bills of lading themselves. ONE and ONE NA each denies that the bills of lading were ONE NA bill of lading.

25. ONE and ONE NA each neither admits nor denies the allegations of Paragraph 25 of the Order, as the terms appearing in ONE's Merchant Clause speak for themselves. ONE and ONE NA each denies that the bills of lading were ONE NA bills of lading, that ONE NA has a bill of lading, and that ONE NA has a Merchant Clause.

26. ONE and ONE NA each denies the allegations of Paragraph 26 of the Order. As said in prior answers, ONE and ONE NA each denies that ONE or ONE NA acted unreasonably; ONE and ONE NA each denies that ONE or ONE NA "demand[ed]" payment from Greatway; ONE and ONE NA each denies that Greatway was not in privity with ONE or ONE NA; and ONE and ONE NA each denies that Greatway did not assent to be bound by the bill of lading or be held liable for payment of charges. ONE and ONE NA each believes that Greatway did or may have done all those things as a result of its actions in connection with the shipments. ONE and ONE NA each denies that the bills of lading were ONE NA bills of lading, that ONE NA has a bill of lading, and that ONE NA has a Merchant Clause.

27. ONE and ONE NA each denies the allegations of Paragraph 27 of the Order. ONE and ONE NA each denies that the actions described above are actions by ONE NA.

DEFENSES AND AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction and personal jurisdiction over ONE NA, as ONE NA is not an ocean common carrier, or any other entity subject to the regulation of the Commission pursuant to the Shipping Act or any other law.
2. As to ONE, the Commission lacks subject matter jurisdiction over the substantive terms of ocean common carrier bills of lading. As to ONE NA, it is not an ocean common carrier, it does not have bills of lading, and is not subject to the personal jurisdiction or subject matter jurisdiction of the FMC.
3. The Commission lacks statutory authority to preclude or impede carriers from seeking relief in the courts or to penalize carriers for doing so.
4. The First Amendment to the United States Constitution precludes the Commission from prohibiting or impeding Respondents from seeking relief in the courts or petitioning the courts for redress of grievances. or penalizing them for doing so.
5. 46 U.S.C. § 41102(c) does not apply to ocean common carrier bills of lading subject to the admiralty jurisdiction of the U.S. courts or their enforcement by those courts. As ONE NA does not have any bills of lading, it does not apply to ONE NA at all.
6. The Commission has not alleged the essential elements of a violation under 46 U.S.C. § 41102(c) against either ONE or ONE NA.
7. The Interpretative Rule at 46 C.F.R. § 545.5 does not, by its own terms, create normative standards or legislative rules that a common carrier is required to obey.
8. The Commission has failed to state a claim against ONE for which relief can be granted.
9. The Commission has failed to state a claim against ONE NA for which relief can be granted.

10. No person has suffered any actual injury or damage as a result of ONE's or ONE NA's alleged violations of the Shipping Act, which, if any, are denied.
11. The conduct of each of ONE and ONE NA was reasonable in light of the totality of the circumstances.
12. ONE and ONE NA each retains the right to amend this Answer to raise any additional defenses or affirmative defenses which may arise in the course of this proceeding.
13. ONE and ONE NA each requests an oral hearing in this proceeding.

PRAYER

Wherefore, premises considered, Respondent Ocean Network Express Pte. Ltd. and putative Respondent Ocean Network Express (North America), Inc. pray that the Federal Maritime Commission take nothing by this proceeding, that the Commission's claims against ONE and ONE NA be dismissed with prejudice, and that ONE and ONE NA each be granted all relief to which it may be entitled.

DATED: March 1, 2022

Respectfully submitted,

/s/ Rebecca A. Fenneman

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**ATTORNEYS FOR RESPONDENT
OCEAN NETWORK EXPRESS PTE.
LTD. AND PUTATIVE RESPONDENT
OCEAN NETWORK EXPRESS
(NORTH AMERICA), INC.**

VERIFICATION

I declare under penalty of perjury that the foregoing Original Answer is true and correct.

For Ocean Network Express, PTE. LTD and Ocean Network Express (North America), Inc. (as agent for ONE):

By : Jacob Lee

Date : March 1, 2022

Name : Jacob Lee

Title : Vice President & General Counsel, Ocean Network Express (North America), Inc.

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CERTIFICATE OF SERVICE

I certify that on the 1st day of March, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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